

26CV01909 Simran Khalsa et al vs Michael Humphrey et al

County: santa-barbara

Division: Civil Law & Motion

Department: 5 SB-Anacapa

Hearing date: 2026-08-17

Motion: CMC; Demurrer to Complaint; Motion: Enforce Settlement Agreement and Dismiss Action

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Tentative Ruling: Simran Khalsa et al vs Michael Humphrey et al

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26CV01909

Case Type

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Hearing Date / Time

Mon, 08/17/2026 - 10:00

Nature of Proceedings

CMC; Demurrer to Complaint; Motion: Enforce Settlement Agreement and Dismiss Action

Tentative Ruling

Simran Khalsa, et al., v. Michael Humphrey, et al.

Case No. 26CV01909

Hearing Date: August 17, 2026

HEARING: (1) Motion to Enforce Settlement

(2) Demurrer to Complaint

ATTORNEYS: For Plaintiffs Simran Khalsa and Guruparkash Khalsa: John J. Thyne III, Scott A. Jaske, Tyne Taylor Fox Howard, LLP

For Defendant Michael Humphrey: Self-represented

TENTATIVE RULING:

(1) The motion of defendant Michael Humphrey to enforce settlement is denied.

(2) The demurrer of defendant Michael Humphrey to the complaint of plaintiffs Simran Khalsa and Guruparkash Khalsa is overruled. Humphrey shall file and serve his answer to the complaint on or before September 1, 2026.

Background:

As alleged in plaintiffs' complaint:

Plaintiff Simran Khalsa (Khalsa) and defendant Michael Humphrey were members of Happy Hunting, LLC, (HH LLC) which was formed for the purpose of acquiring, improving, and selling real property located at 251 Cloydon Circle, Santa Barbara (the Property). (Complaint, ¶ 7.)

While HH LLC owned the Property, Humphrey retained defendant J R Construction Group Inc. (J R Construction) to perform work at the Property. (Complaint, ¶¶ 8-9.)

A dispute later arose between Khalsa and Humphrey concerning HH LLC and the Property. (Complaint, ¶ 11.) That dispute was resolved pursuant to a written settlement agreement (Settlement Agreement) between Khalsa and Humphrey. (Ibid.) Pursuant to the Settlement Agreement, Humphrey agreed to indemnify and hold Khalsa harmless from any and all costs, claims, demands, and other financial obligations related to the Property or HH LLC through the date of execution of the Settlement Agreement if such obligations had not previously been addressed therein. (Complaint, ¶ 12.)

Following the sale of the Property, claims were asserted by the third-party buyer against Khalsa and plaintiff Guruparkash Khalsa relating to defects and conditions at the Property, including claims arising out of construction work by J R Construction. (Complaint, ¶ 14.)

On March 24, 2026, plaintiffs filed their complaint in this action against Humphrey and J R Construction asserting six causes of action: (1) express contractual indemnity; (2) equitable indemnity; (3) contribution; (4) declaratory relief; (5) negligence; and (6) breach of implied warranty of workmanlike construction. Defendant Humphrey is a defendant in the first five causes of action.

On May 1, 2026, Humphrey filed his demurrer to the complaint. Humphrey asserts that each cause of action of the complaint is barred by the Settlement Agreement. Also on May 1, Humphrey filed a motion to enforce the Settlement Agreement and dismiss this action pursuant to Code of Civil Procedure section 664.6. Both motions are opposed by plaintiffs.

Analysis:

(1) Request for Judicial Notice

Humphrey requests judicial notice of: (1) a "Settlement Agreement and Mutual General Release"; and (2) "Dismissal of prior action with retained jurisdiction pursuant to CCP § 664.6." (Humphrey Request for Judicial Notice, p. 2.) This request does not state whether the request is directed to the demurrer or to the motion to enforce settlement. These documents are not attached to the document requesting judicial notice and do not state where the documents are located. Nonetheless, documents matching the description of the request are identified as exhibits A and B in the Humphrey declaration filed in support of the motion to enforce settlement and attached to the document entitled, "Defendant Michael Humphrey's Exhibit List." The court assumes that the exhibits A and B are the documents for which judicial notice is requested.

"Judicial notice may not be taken of any matter unless authorized or required by law." (Evid. Code, § 450.) The request for judicial notice does not identify the authority by which judicial notice is requested. Looking at the requests, there only seem to be two possibilities. "Judicial notice may be taken of the following matters to the extent that they are not embraced within Section 451: [¶] ... [¶] (d) Records of (1) any court of this state [¶] ... [¶] (h) Facts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." (Evid. Code, § 452, subds. (d)(1), (h).)

With respect to the "Settlement Agreement and Mutual General Release," the document appears as a contract and does not appear to have been previously filed in any court. Consequently, the settlement agreement is not subject to judicial notice as a court record pursuant to Evidence Code section 452, subdivision (d)(1). The contract, and in particular, the meaning of the contract is not a matter of indisputable accuracy.

"[J]udicial notice can be taken of matters not reasonably subject to dispute, but cannot be taken of matters shown to be reasonably subject to dispute." (Scott v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 743, 760–761.)

"The proper interpretation of a contract is disputable if the contract is susceptible of more than one reasonable interpretation, that is, if the contract is ambiguous. An ambiguity may appear on the face of a contract, or extrinsic evidence may reveal a latent ambiguity. [Citation.] A court determining whether a contract is ambiguous must first consider extrinsic evidence offered to prove the parties' mutual intention. If the court determines that the contract is reasonably susceptible of an interpretation supported by extrinsic evidence, the court must admit that evidence for purposes of interpreting the contract. [Citation.] A court cannot determine based on only the four corners of a document, without provisionally considering any extrinsic evidence offered by the parties, that the meaning of the document is clear and unambiguous." (Fremont Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 114, fn. omitted.)

Because there is no basis shown to take judicial notice of exhibit A, the request for judicial notice will be denied. While the court will deny judicial notice of exhibit A, the court will nonetheless consider the document as evidence with respect to the motion to enforce settlement.

With respect to exhibit B, the "Request for Dismissal," this document is only an unfiled request for dismissal. It includes neither a file stamp nor a certification as a court record. Because the document presented does not appear to have been filed in a court, it is not subject to judicial notice as a court record. The request for judicial notice will therefore be denied. Again, the document may nonetheless be considered as evidence with respect to the motion to enforce settlement.

(2) Motion to Enforce Settlement

Humphrey moves to enforce settlement and to dismiss this action pursuant to Code of Civil Procedure section 664.6.

"If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If the parties to the settlement agreement or their counsel stipulate in writing or orally before the court, the court may dismiss the case as to the settling parties without prejudice and retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement." (Code Civ. Proc., § 664.6, subd. (a).)

The settlement agreement attached as exhibit A relates to the settlement of a different case, Khalsa v. Humphrey, case No. 25CV02014. (Humphrey decl., exhibit A, recitals D-F.) A motion under section 664.6 is to enter the settlement agreement as a judgment in the settled case, not in a different case. Consequently, the motion to enforce settlement under section 664.6 will be denied without prejudice to being filed in the appropriate case.

(3) Demurrer

"We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. [Citation.] We also consider matters which may be judicially noticed. [Citation.] Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation.]" (Evans v. City of Berkeley (2006) 38 Cal.4th 1, 6, internal quotation marks omitted.)

Humphrey demurs on the grounds that the general release in the Settlement Agreement bars the causes of action of the complaint. Settlement and release is an affirmative defense. (Ladd v. Warner Bros. Entertainment, Inc. (2010) 184 Cal.App.4th 1298, 1309.)

"A demurrer based on an affirmative defense cannot properly be sustained where the action might be barred by the defense, but is not necessarily barred. [Citation.] Nor is a demurrer the appropriate procedure for determining the truth of disputed facts or what inferences should be drawn where competing inferences are possible." (CrossTalk Productions, Inc. v. Jacobson (1998) 65 Cal.App.4th 631, 635.)

The complaint does not allege the Settlement Agreement verbatim, but does allege that provisions in the Settlement Agreement provide affirmative obligations to Humphrey: "Pursuant to the Settlement Agreement, Humphrey agreed to indemnify and hold Mr. Khalsa harmless from any and all costs, claims, demands, and other financial obligations related to the Subject Property or Happy Hunting, LLC through the date of execution of the Settlement Agreement if such obligations had not previously been addressed therein." (Complaint, ¶ 27.) The claims that are subject to this action are alleged to fall within those indemnity provisions and necessarily outside of the general release. (Complaint, ¶ 28.)

As a result, based upon the allegations in the complaint, the action is not necessarily barred by the Settlement Agreement. (See also Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 229 [for purposes of demurrer the court accepts the pleaded construction of a contract unless clearly erroneous].)

The demurrer will therefore be overruled.

Judges

Judge Colleen Sterne

Dept. 5 SB-Anacapa

1100 Anacapa Street P.O. Box 21107

Santa Barbara, CA 93121-1107

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